

9:00 A.M.

Calendar Line # 1

Case Name Robert Moles et al vs Carney Construction Consulting, Inc. et al

Case No. 20CV370735

Motion to Disqualify Counsel

I. BACKGROUND

A. BRIEF FACTUAL BACKGROUND

This breach of contract claim stems from a Complaint that Plaintiffs Robert Moles and Christopher Douglas Moles, as Trustee of the Mary Denise Moles Revocable Trust, Successor in interest (collectively “Plaintiffs”) filed on September 14, 2020 against Ian Carney (“Carney”), Carney Construction Consulting, Inc. (“Carney Construction”), SJR Ventures, Inc. (“SJR”), Steven Johnson (“Johnson”), and DOES 1 through 20 (collectively “Defendants”).

B. RELEVANT PROCEDURAL BACKGROUND

On October 11, 2022, Defendants SJR and Johnson filed a petition to compel arbitration and stay the action. Parties filed a stipulation to proceed to binding arbitration and stay the action on October 26, 2022.

On June 20, 2024, basic default was entered against Defendant Carney. On April 14, 2026, Plaintiff filed a request for court judgment against Defendants Carney and Carney Construction in the amount of \$5,416,584.78 and the matter was set for a prove up hearing on June 8, 2026 at 1:30 p.m. in front of the Honorable Shella Deen. The prove up hearing was reset to July 20, 2026 at 1:30 p.m. in Department 18.

C. PRESENT MOTION

On May 18, 2026, Defendant Carney filed a motion to disqualify Plaintiff’s Counsel: Ronald R. Rossi, Esq. and the law firm of Rossi, Hamerslough, Reischl & Chuck Counsel and James L. Dawson, Esq. and the law firm of Gates Eisenhart Dawson, counsel for Defendants SJR Ventures, Inc. and Steven Johnson. (Notice of Motion, p. 1-2). The motion was initially set for June 8, 2026 at 1:30 p.m. in Department 18. No minute order reflects this case was continued to this date in Department 1. There is no proof of service attached for this hearing date as required under Code of Civil Procedure 1005(b).

Plaintiff’s counsel filed opposition papers on May 27, 2026 and a limited opposition on September 3, 2026.

Defendant filed Reply briefs on August 20, 2026 and supplemental reply brief September 4, 2026.

The Court has carefully reviewed the Defendant Carney’s notice of motion, memorandum of points and authorities (“MPA”), Declaration of Ian D. Carney in support of the defendant’s moving papers with Exhibits A – I attached (totaling 63 pages); Plaintiff’s May 27, 2026 Opposition (totaling 6 pages); May 27, 2026, Declaration of Missy M. Cornejo in support of the opposition and attached Exhibits A – F (totaling 24 pages); August 20, 2026 Reply brief, Declaration of Carney and attached Exhibits A-B (totaling 27 pages); September 3, 2026 Plaintiff’s Limited Opposition (totaling 9 pages); September 3, 2026 Declaration of Missy M. Cornejo and attached Exhibits A-B (totaling 38 pages); September 4 Reply (totaling 2 pages); proofs of services; and the pleadings.

II. LEGAL STANDARD

A. DEFAULT STATUS

“The entry of a default terminates a defendant's rights to take any further affirmative steps in the litigation until either its default is set aside or a default judgment is entered.” (*Devlin v. Kearny Mesa AMC/Jeep/Renault*,

Inc. (1984) 155 Cal.App.3d 381, 385). Further, the entry of default “[c]uts off the defendant's right to file pleadings and motions (other than a motion to set aside default under § 473), and it also cuts off the defendant's right to notices and the service of pleadings or papers.” (*Bailey v. Citibank, N.A.* (2021) 66 Cal.App.5th 335, 347; *Steven M. Garber & Assocs. v. Eskandarian* (2007) 150 Cal.App.4th 813, 819). Aside from a motion to set aside a default judgment, any other motion filed by a defendant in default is unauthorized and void. (*Humphrey v. Bewley* (2021) 69 Cal.App.5th 571, 580).

B. PROCEDURAL VIOLATION

Code of Civil Procedure section 1005 requires that “[a]ll moving and supporting papers shall be filed and served at least 16 court days before the hearing. The moving and supporting papers served shall be a copy of the papers filed or to be filed with the court.” (Code Civ. Proc., § 1005, subd. (b); *see also* Code Civ. Proc., § 1010). A proof of service must be attached to motions and filings. (Cal. Rules of Court, rules 2.306 and 3.510l; *see also* Code Civ. Proc., §§ 1010 and 1013).

III. ANALYSIS

Here, Defendant Carney seeks to disqualify Plaintiff’s Counsel: Ronald R. Rossi, Esq. and the law firm of Rossi, Hamerslough, Reischl & Chuck Counsel and James L. Dawson, Esq. and the law firm of Gates Eisenhart Dawson, counsel for Defendants SJR Ventures, Inc. and Steven Johnson. (Notice of Motion, p. 1-2). Plaintiff seeks to disqualify counsel under California Rules of Professional Conduct, rule 1.9. (MPA, p. 2-3).

Without waiving any substantive objections on the merits of the motion, Plaintiff opposes the motion on the following procedural deficiencies: (1) a default was entered against the defendant on June 20, 2024, which remains in effect; (2) failure to provide proper notice of this hearing; and (3) failure to comply timely filing and notification of the motion pursuant to Code of Civil Procedure section 1005(b). (Limited Opposition, p. 2-6; Opposition, p. 3). Plaintiff counsel asserts that the notice of motion for June 8, 2026 was not properly calendared it eh correct department and the motion was not called on that day and the minute order is silent as to the motion. (Declaration of Cornejo in support of the limited opposition, ¶¶ 6-8; Exhibit B). Plaintiff asserts that while defendant reserved a hearing date for this motion., service was not properly effectuated. (*Id.*, at ¶¶ 9-13).

In reply, Defendant Carney asserts that even if notice was not proper for the June 8, 2026 hearing, the defendant re-filed the motion for a later hearing date. (Reply, p. 2). Defendant Carney requests that the Court consider the substantive merits of the motion despite any procedural defects. (*Id.*, p. 2-7). Defendant argues that Plaintiff filed opposition papers, which demonstrate knowledge of this present motion and hearing. (Supplemental Reply, p. 1-2).

First and foremost, the Court finds that an entry of default was filed on June 20, 2024 against Defendant Carney. The default status remains in place. Accordingly, Defendant Carney is precluded from filing pleadings or this present motion. (*Devlin v. Kearny Mesa AMC/Jeep/Renault, Inc.*, *supra*, 155 Cal.App.3d at 385; *Bailey v. Citibank, N.A.*, *supra*, 66 Cal.App.5th at 347; *Steven M. Garber & Assocs. v. Eskandarian*, *supra*, 150 Cal.App.4th at 819). Given Defendant Carney’s default status, the Court deems this present motion to disqualify counsel as unauthorized and void. (*Id.*; *see also*, *Humphrey v. Bewley*, *supra*, 69 Cal.App.5th 571, 580). The Court need not further analyze additional procedural deficiencies under Code of Civil Procedure section 1005 and cannot consider the merits of the motion.

IV. CONCLUSION

Based on the foregoing, the motion to disqualify is DENIED. The Court will prepare the formal Order.

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Calendar Line # 2
Case Name Chadney Duncan-Pauley vs Ford Motor Company et al
Case No. 25CV477971
Petition to Compel Arbitration
<u>I. BACKGROUND</u> This case stems from a breach of warranty claim under the Song Beverly Act, regarding Plaintiff Chadney Duncan-Pauley (“Plaintiff”)’s November 2023 purchase of a 2023 Ford Escape, vehicle identification number, 1FMCU0GN2PUA84386 (“Subject Vehicle”) from Sunrise Ford of North Hollywood (Dealership). (Complaint at ¶ 7). Plaintiff delivered the Subject Vehicle to Dealership for substantial repair on at least one occasion. (<i>Id.</i> at ¶ 47). Plaintiff alleges that Dealership “breached its duty to Plaintiff to use ordinary care and skill by failing to properly store, prepare, and repair the Subject Vehicle in accordance with industry standards.” (<i>Id.</i> at ¶ 49). On October 17, 20205 Plaintiff filed a Complaint against Defendants Dealership and Ford Motor Company. The sole cause of action alleged against Dealership is for negligent repair. At issue is Dealership’s petition to compel arbitration, based on the Retail Installment Sales Contract (“RISC”) signed by Plaintiff and Dealership when Plaintiff purchased the Subject Vehicle. Having reviewed the language of the RISC’s arbitration provision and the circumstances of its execution, the court will grant the petition and stay the action. <u>II. LEGAL STANDARD</u> Dealership maintains that the Federal Arbitration Act (FAA) governs the arbitration provision based on the language itself and because the agreement affects interstate commerce. (Motion to Compel Arbitration at pp. 6:24-7:1). The arbitration provision states “[a]ny arbitration under this Arbitration Provision shall be governed by the Federal Arbitration Act (9 U.S.C. §§ 1 et seq.) and not by any state law concerning arbitration.” (Declaration of Trina Clayton [“Clayton Decl.”], Ex. A at p. 5). Under the FAA, the court’s role is limited to determining “(1) whether a valid agreement to arbitrate exists, and if it does (2) whether the agreement encompasses the dispute at issue.” (<i>Chiron Corp. v. Ortho Diagnostic Systems, Inc.</i> (9th Cir. 2000) 207 F.3d 1126, 1130). To determine “whether a valid contract to arbitrate exists,” courts apply “ordinary state law principles that govern contract formation.” (<i>Davis v. Nordstrom, Inc.</i> (9th Cir. 2014) 755 F.3d 1089, 1093 [citations omitted]; <i>Ingle v. Circuit City Stores, Inc.</i> (9th Cir. 2003) 328 F.3d 1165, 1170). Code of Civil Procedure section 1281.2 provides: “On petition of a party to an arbitration agreement alleging the existence of a written agreement to arbitrate a controversy and that a party to the agreement refuses to arbitrate such controversy, the court shall order the petitioner and respondent to arbitrate the controversy if it determines that an agreement to arbitrate the controversy exists, unless it determines that: [¶] The right to compel arbitration has been waived by the petitioner; or [¶] (b) Grounds exist for rescission of the agreement.” In determining the threshold question of whether an arbitration agreement exists between the parties, the court employs a three-step burden shifting analysis. (<i>Iyere v. Wise Auto Group</i> (2023) 87 Cal.App.5th 747, 755 (<i>Iyere</i>); <i>Espejo v. Southern California Permanente Medical Group</i> (2016) 246 Cal.App.4th 1047, 1060). The party seeking to compel arbitration bears the initial burden of showing an agreement to arbitrate. If that burden is met, the burden shifts to the opposing party to show a factual dispute regarding the agreement’s existence. If the opposing party does so, then the burden shifts back to the proponent of arbitration to show the existence of a valid agreement by a preponderance of the evidence. (<i>Iyere, supra</i>, 87 Cal.App.5th at p. 755). // //